

Ideally, we want a fund with a high percentage of AAA and sovereign assets, a low modified duration, a low TER, and a hefty AUM.

Duration	Fund A	Fund B	Fund C	Fund D	Fund E
AUM	8033	6036	7554	14690	14667
TER(direct)	0.37%	0.37%	0.39%	0.33%	0.32%
Average modified duration	2.41years	2.81 years	2.12 years	2.35 years	2.35 years
% of AAA + sovereign assets	96%	90%	93%	100%	100%

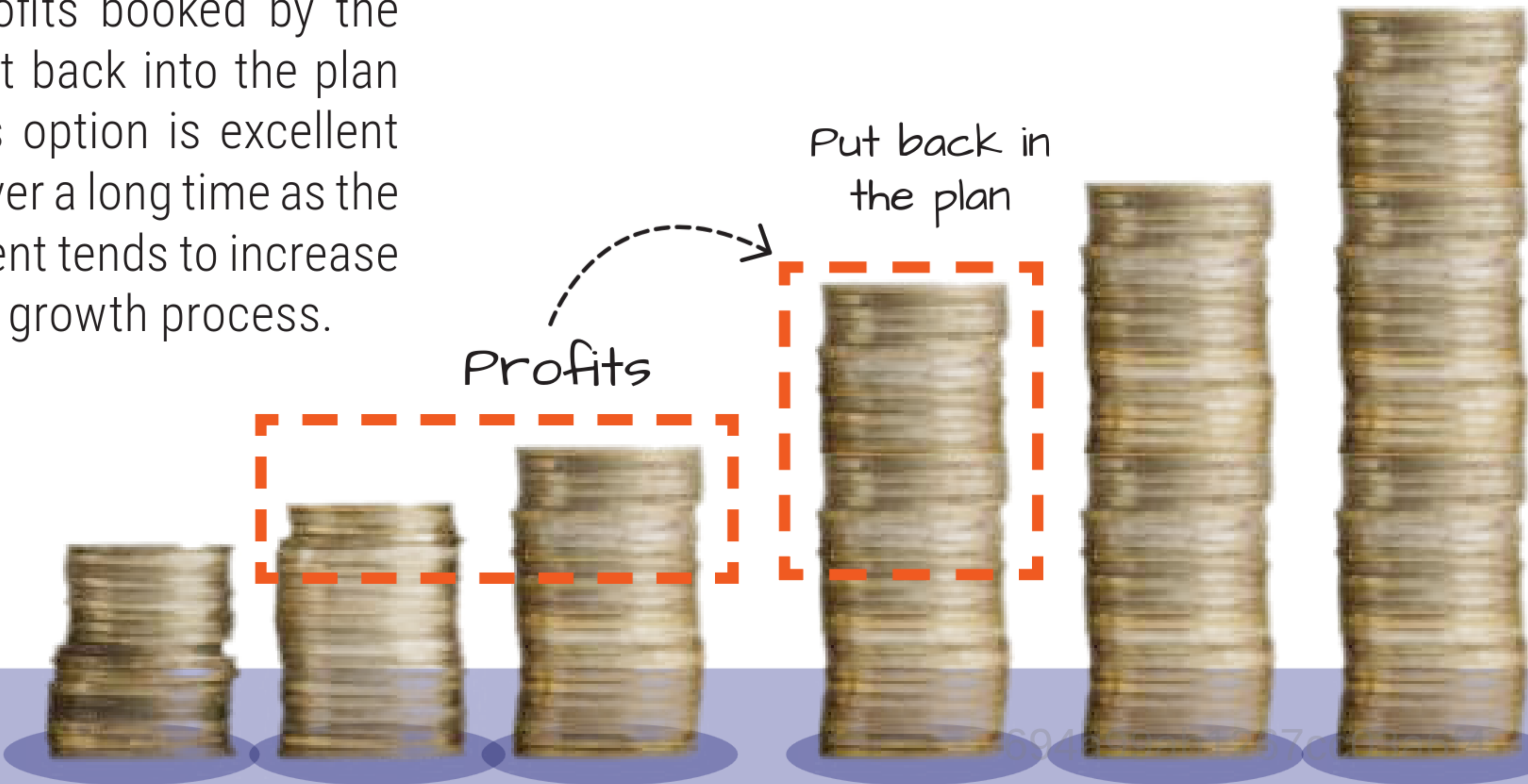
Based on that and the data above, both Fund D and Fund E have met the criteria! They both have higher AUM, lower TER, and 100% investment in high-quality assets, and their modified duration is not significantly different from the lowest (Fund C). So now, you can invest in either of them or 50-50 in both.

6. Growth Option vs. IDCW

Once you’ve decided on your plan, you’ll need to choose between the Growth option and IDCW (Income cum Capital withdrawal). Both of these options cover how your money grows in a mutual fund.

Growth Option

With this option, profits booked by the mutual funds are put back into the plan to help it grow. This option is excellent for building wealth over a long time as the value of the investment tends to increase more because of the growth process.



*The fund here is an example, not a recommendation. It is only for educational purposes.